

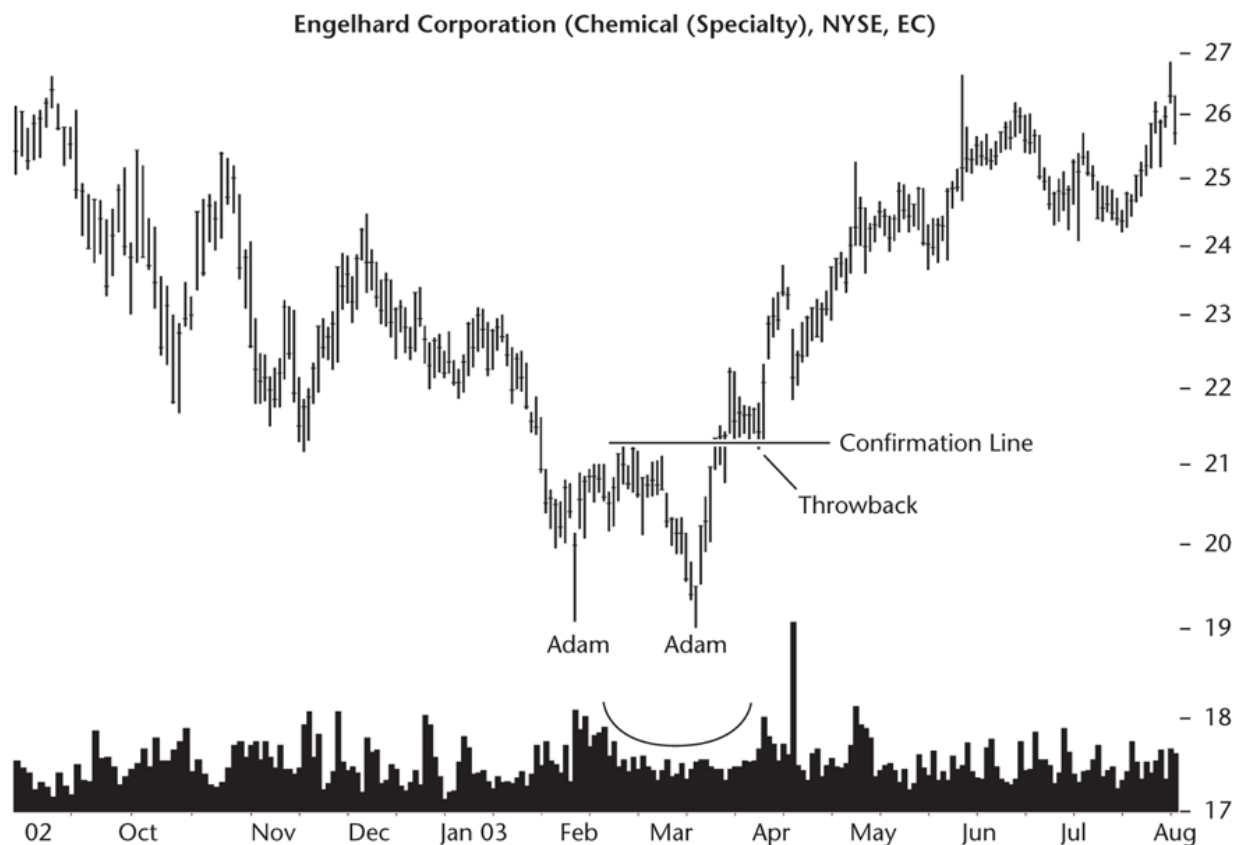


Figure 26.1 An Adam & Adam double bottom with twin spikes, volume heavier on the left bottom than the right, and U-shaped volume.

The confirmation line marks the highest high in the pattern. A twin bottom pattern is not a valid double bottom until price closes above the confirmation line. That occurrence signals a breakout and time to take a position in the stock. But before you do, check the identification guidelines to be sure you have a good pattern.

Identification Guidelines

Table 26.1 shows guidelines for identifying Adam & Adam double bottoms.

Appearance. The shape of each bottom should appear similar. That means both bottoms should look narrow, V-shaped, perhaps with a long, downward price spike or tail. To gauge the width, look at the *top* of the bottom. I know that sounds confusing, but the top end of the valley will tend to remain narrower than Eve bottoms along their height. (Eve bottoms,